

BUILD YOUR SKILLS: RETIREMENT

Please answer the following questions. Answers can be found in the back of the book.

1. Let's say you just got a job making \$100,000. Go, you. Your employer offers a 401(k) with a 50% match up to 5%. Because you are now financially literate, you enroll in the 401(k) program. What is the most your employer will contribute to your account in a year?
2. Use the calculator at www.calculator.net/401k-calculator.html to answer the following question. If you start investing in a 401(k) when you are twenty-three years old, contribute 10% of your \$55,000 salary each year, and your employer matches 50% up to 3% of your salary, how much money will you have at age 67 (assume a 7% return, 2% salary increase per year, and 3% inflation rate)?
3. Explain to a classmate, friend, or family member the difference between a Roth and traditional IRA.
4. In a few words, explain why it is important to begin saving for retirement as early as you can.